Sanathan Textiles Ltd

Concall tracker · Q2 FY27 (quarter ended 30 Sep 2026) · filed under Q2-2027 · NSE: SANATHAN

1. Snapshot

Sanathan spins yarn. Most of it is polyester filament yarn (the man-made thread used in clothing, home textiles and industrial fabric), plus cotton yarn and special yarns for technical textiles (conveyor belts, safety slings, geo-fabrics). It buys PTA and MEG (the two oil-based raw materials polyester is made from) and earns the gap between what it pays for them and what it sells the yarn for. It has one long-running plant at Silvassa and a big new one in Punjab, started in August 2025.

Number	Value	Plain read
Market cap	₹4,940 cr	What the whole company is worth on the stock market today.
FY26 revenue (consolidated)	₹3,811 cr	Total sales across both plants last year, up about a quarter thanks to Punjab's first months.
FY26 profit (consolidated)	₹77 cr	Far below Silvassa's own ₹192 cr, because the young Punjab plant was still losing money.
Q2 FY27 revenue (consolidated)	₹1,804 cr	More than double the same quarter last year: Punjab is now running near full.
Q2 FY27 profit (consolidated)	₹61 cr	About three times last year's quarter. Punjab made a profit for the first time.
Debt (gross, expected at March 2027)	~₹1,350 cr	Borrowed mainly to build Punjab. Meaningful, but management says it starts falling next year.
P/E (Screener)	22.7	Price paid per rupee of yearly profit, worked on the Silvassa-only profit. On group profit the stock looks dearer.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY25 (first call after the Dec 2024 IPO)	17 Jan 2025	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	27 May 2025	Yes
Q1 FY26	Aug 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	5 Nov 2026	Yes, in full

Nine calls, about two years. The company only listed in December 2024, so that's every call it has held.

Latest concall highlights · Q2 FY27 (5 Nov 2026)

- Group sales ₹1,804 cr, up about a third on the June quarter, as Punjab volume ramped and prices recovered. Sold 1.22 lakh tonnes of yarn, up from 96,000 tonnes.
- Punjab turned profitable for the first time. Group profit ₹61 cr, about two and a half times the June quarter.

- Guidance raised: FY27 revenue now "more than ₹6,000 cr" (was ₹5,600-5,700 cr) and operating profit "north of ₹560 cr" (was ₹520-550 cr). FY28 pencilled at ₹7,200-7,300 cr.
- Doubled technical-textile yarn capacity at Silvassa (9,000 to 18,000 tonnes a year) started on 20 Aug 2026 and is already about 95% used.
- Tone: confident. Punjab phase two (700 to 900 tonnes a day) starts partly in December, fully ramped by June-July 2027.

Business mix & capacity
Revenue mix (group, Q2 FY27): polyester ~87%, cotton ~10%, technical textiles ~3%. Exports from Silvassa swing between ~4% and ~17% of its sales depending on which market pays better; management expects double digits once the EU trade deal kicks in. So it's mostly an India business.
Utilisation: Silvassa ~95% (full); Punjab ~90% in Q2, up from ~77-80% in Q1, aiming for 95-96% within two quarters. Little headroom left at Silvassa; Punjab phase two and a planned cotton-yarn plant in Madhya Pradesh are the next steps.

3. Earning trigger thesis

The trigger is the Punjab plant. It roughly doubles the company's yarn volume, and now that it runs near full, its fixed costs (depreciation and interest) are spread over far more tonnes. This quarter depreciation and interest rose only ~₹5 cr while operating profit rose ~₹47 cr, so most of the gain reached profit. Phase two at Punjab, the doubled technical-textile line and a cotton plant in Madhya Pradesh are lined up behind it.

Trigger	What management said	Evidence so far	Time horizon	Strength
Punjab phase one ramp-up	Plant runs at 700 tonnes/day; target 95-96% use	~90% use in Q2, plant profitable, group profit tripled year on year	Now	**Strong**: already in the numbers
Punjab phase two (to 900 tonnes/day)	Part in December 2026, full by June-July 2027	Equipment being installed	FY28	**Moderate**: promised, not yet built
Technical-textile yarn doubled	Higher profit per tonne than plain polyester	Started 20 Aug 2026, ~95% used, adds ₹80-90 cr sales this year	Now	**Moderate**: small slice of sales
Madhya Pradesh cotton yarn plant (~₹400 cr)	Ground work January, production by end of 2027	Land in process	FY28-29	**Unproven**

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt peaks this year; a cut of ~₹120 cr is planned only for next year (Nov 2026).
New business	No	All three lines are existing products.
Margin up	Yes	"EBITDA per ton rose 13% over the last quarter"; Punjab profit per tonne "will be higher even more in the coming quarters" (Nov 2026).
New management	No	Same promoter team throughout.
New capacity	Yes	Technical-textile capacity doubled from 20 Aug 2026; Punjab phase two first part "by December" (Nov 2026).

Big orders	No	Yarn is sold on running orders, no order book.
Turnaround	No	Punjab turned profitable, but the company as a whole never made a loss.
Promoter buying	No	Promoters steady at 78.6%.

Single driver: the new Punjab polyester plant is now running near full and has turned profitable, so its fixed costs are spread over far more yarn.

3c. Margin bridge

Group operating margin was about 8.5% in Q2 FY27, against about 7.7% a year ago. The gain came from Punjab running fuller, which spreads fixed costs, and better selling prices passed through after raw-material swings in April-May. Silvassa on its own slipped from the June quarter because a cheap-inventory gain from Q1 didn't repeat and costs rose. Management treats the Punjab part as lasting. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jan 2025	Punjab plant commissions in Q1 FY26 (by June 2025)	Commissioned 27 Aug 2025, about two months late	Partly
Aug 2025	Double-digit operating margin for FY26	Group margin ended FY26 around 7.5%	Missed
Nov 2025	FY26 revenue of ₹4,100-4,300 cr; Punjab at full use from Q4 FY26	Revenue ₹3,811 cr; Punjab ramp finished in March instead of December and reached ~90% only by Q2 FY27	Missed
Feb 2026	Doubled technical-textile line commissions in Q1 FY27	Started 20 Aug 2026, early Q2	Partly
May 2026	FY27 revenue ₹5,600-5,700 cr, operating profit above ₹500 cr	First half ~₹3,139 cr revenue and ~₹262 cr operating profit; guidance raised	Too-early (on track)
Aug 2026	Much higher Punjab use in Q2	~90%, up from ~77-80%	Delivered

Narrative drift: the story itself has been steady for two years: build Punjab, fill it, then phase two and cotton. What slipped was timing. The first year's numbers and dates were too optimistic, each by a quarter or two. Since May 2026 the company has been running ahead of its own guide, and it raised it this call. Tone moved from defensive (Feb 2026, explaining the slow ramp) to confident.

5. Bottom line

Durable earning trigger? → YES

Punjab is a real, named driver and it's already in the results: volumes up by more than a quarter in one quarter, the plant profitable, group profit tripled year on year. Phase two adds another step from December. The catch is that this is a spread business; if PTA and MEG prices jump again, as in April-May, margins get squeezed for a while.

Management consistent? → MAYBE

Same story every call, but early dates and targets slipped: the Punjab start, the FY26 revenue goal and the margin goal were all missed. The last two quarters have been on or ahead of plan, which helps. Another clean quarter on phase two's December start would firm this up.

Checkpoints for next quarter

- Punjab phase two first part starts by December 2026
- Punjab utilisation moves above ~90% toward the 95% target
- Group on pace for the raised FY27 goal: revenue above ₹6,000 cr, operating profit above ₹560 cr

Sources: Sanathan Textiles earnings call transcripts Jan 2025 to 5 Nov 2026 (via Screener.in / NSE filings); Screener.in financial tables. Not investment advice. Do your own due diligence.